Rent to sales.

The first number we test in every restaurant study, before the menu, before the design, before anyone falls for the view.

Rent is a share of sales, not a monthly figure.

The landlord quotes a number. The study asks a different question: what is that number as a share of what the room will sell?

LEASE AGREEMENT · SCHEDULE 1 · RENT

4.1 The Tenant shall pay to the Landlord an annual rent of AED 480,000, payable in four equal instalments by post-dated cheque.

4.2 The rent shall be reviewed on each anniversary of the Commencement Date.

4.3 The Tenant shall bear all service charges, chiller charges and municipality fees ...

480,000 ÷ forecast sales = ?

That question mark is the first number in the study.

12 to 15%

of forecast sales.

That is the norm, and the study holds rent there. **20% is the ceiling, prime sites only.** Above it the room works for the landlord.

Same room. Two rents. One answer.

Forecast sales of AED 3,000,000 a year, built bottom-up from covers, spend and trading days. Then the rent is laid against it.

Forecast sales, year one	AED 3,000,000
Rent quoted, site A 15%	AED 450,000
Rent quoted, site B 20%	AED 600,000
The difference, every year	AED 150,000

Site B is a ceiling you walk away from, not a target. Unless it is truly prime, and the study proves it.

Turnover rent: read the three words.

Mall leases often add a second rent, a share of your sales. The clause looks harmless until you reach the words that decide which one you pay.

LEASE AGREEMENT · SCHEDULE 1 · TURNOVER RENT

5.1 In addition to Clause 4.1, the Tenant shall pay Turnover Rent equal to twelve percent (12%) of Gross Turnover.

5.2 The rent payable for any Lease Year shall be the Base Rent or the Turnover Rent, whichever is the higher.

Base rent is the floor, never the bill.

A good year raises your rent. The study prices both lines.

The payment on top of the rent.

In some cities a unit changes hands only with a lump sum to the outgoing tenant. It buys you nothing the lease does not already give you.

SIDE LETTER · PREMISES HANDOVER

1. In consideration of the surrender of the Premises, the Incoming Tenant shall pay the Outgoing Tenant a one-time sum of AED 350,000 on signature.

2. The sum is non-refundable and is not rent.

We do not pay it.

That money belongs in the reserve, and in the opening campaign that tells the city you have arrived.

Your rent, divided by your forecast sales.

Above 15%, read the numbers before the lease. A Full Study for one location is USD 2,499, delivered in seven working days, with a plain verdict at the end, including no.

Make every mistake on paper.
Never with your money.